

**SENATE SUBSTITUTE FOR
HOUSE BILL NO. 4805**

A bill to amend 1982 PA 249, entitled
"An act to establish the state children's trust fund in the
department of treasury; and to provide certain powers and duties of
the department of treasury with respect to the trust fund,"
by amending section 1 (MCL 21.171), as amended by 2014 PA 306.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 1. (1) The children's trust fund is created as a
2 charitable and educational endowment fund in the department of
3 treasury. The fund ~~shall~~**must** be expended only as provided in this
4 section.

5 (2) The state treasurer shall credit to the trust fund all
6 amounts appropriated for this purpose under section 475 of the
7 income tax act of 1967, 1967 PA 281, MCL 206.475, any amounts



1 received under section 811j of the Michigan vehicle code, 1949 PA
2 300, MCL 257.811j, and section 8 of the child abuse and neglect
3 prevention act, 1982 PA 250, MCL 722.608, and any amounts received
4 from civil fines imposed under the playground equipment safety act,
5 1997 PA 16, MCL 408.681 to 408.687.

6 (3) The state treasurer shall direct the investment of the
7 trust fund. The state treasurer ~~shall have~~ **has** the same authority
8 to invest the assets of the trust fund as is granted to an
9 investment fiduciary under the public employee retirement system
10 investment act, 1965 PA 314, MCL 38.1132 to 38.1141. The state
11 treasurer shall comply with the divestment from terror act, 2008 PA
12 234, MCL 129.291 to 129.301, in making investments under this act.

13 (4) Beginning in fiscal year 2015 and continuing through
14 fiscal year 2017, all money contributed to the fund that year, plus
15 4.25% of the 12-quarter rolling average of the fund, including
16 unrealized gains and losses, ~~shall be~~ **is** available for disbursement
17 upon the authorization of the state board as provided in section 9
18 of the child abuse and neglect prevention act, 1982 PA 250, MCL
19 722.609.

20 (5) Except as otherwise provided in this subsection, on
21 October 1, 2017, provided that the rolling average of the fund for
22 the previous 12 quarters, including unrealized gains and losses, is
23 at least \$23,500,000.00, then, beginning with fiscal year 2018, up
24 to 5% of the 12-quarter rolling average ~~shall~~ **must** be available for
25 disbursement as specified in this subsection. On October 1, 2017,
26 if the rolling average of the fund for the previous 12 quarters,
27 including unrealized gains and losses, is less than \$23,500,000.00,
28 then, beginning with fiscal year 2018, up to 4.25% of the 12-
29 quarter rolling average, including unrealized gains and losses,



~~shall~~**must** continue to be available for disbursement. **Beginning with the fiscal year 2025, up to 8% of the 12-quarter rolling average must be available for disbursement as specified in this subsection.**

(6) Money granted or received as gifts or donations to the trust fund ~~shall be~~**is** available for disbursement upon appropriation under section 8 of the child abuse and neglect prevention act, 1982 PA 250, MCL 722.608, and funds authorized for expenditure ~~shall are~~ not be considered assets of the trust fund for the purposes of subsection (4).

(7) The state treasurer shall annually prepare an accounting of revenues and expenditures from the trust fund. ~~This~~**The** accounting ~~shall~~**of revenues and expenditures prepared under this subsection must** specifically identify the interest and earnings of the trust fund, ~~shall~~ describe how the amount of interest and earnings has been affected by the expanded investment options provided for ~~in~~**under** subsection (3), and ~~shall~~ identify how the increased interest and earnings, if any, have been expended. ~~This~~**The** accounting ~~shall~~**of revenues and expenditures prepared under this subsection must** be provided to the senate and house of representatives appropriations committees.

(8) As used in this section, "trust fund" means the children's trust fund created in subsection (1).

Enacting section 1. This amendatory act does not take effect unless all of the following bills of the 103rd Legislature are enacted into law:

- (a) Senate Bill No. 418.
- (b) Senate Bill No. 421.
- (c) House Bill No. 4808.

